

Line 5

Case Name: *Scott Johnson v. Blvd Coffee Inc., et al.*

Case No.: 25CV457671

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Plaintiff Scott Johnson (“Plaintiff”) moves for attorneys’ fees and costs in the amount of \$39,638.60, reflecting a 1.25 multiplier on \$29,275.00 in attorneys’ fees and \$2,435.88 in costs, pursuant to the Judgment entered and the agreement of the parties. Notice of Motion (the “Motion”) at 3:3-7 (filed: Nov. 10, 2025); Reply Declaration of Dennis Price In Support of Motion (“Price Reply Decl.”) at ¶ 6 (filed: June 15, 2026).⁹

The Motion came on for hearing on June 24, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

Resolving this Motion is straightforward.

On January 28, 2025, Plaintiff filed his Complaint against Defendant Blvd Coffee Inc., a coffee shop in Los Gatos, California, alleging that this small coffee shop is liable for violations of the Americans with Disabilities Act (“ADA”), e.g., that its different types of dining tables are not ADA compliant. Complaint at ¶¶ 27, 57 (filed: Jan. 28, 2025).

A review of the case docket and record shows that between March 7, 2025 and April 25, 2025, the parties briefed but did not argue Defendant’s motion to quash service of summons because this motion was withdrawn as moot as Defendant obtained leave to file and did file its Answer on May 6, 2006. *See* April 25, 2025 Minute Order (motion to quash hearing moot if Defendant has filed its responsive pleading on or before May 7, 2025); Answer (filed: May 6, 2025).

A bit over a month after Defendant filed its Answer on May 6, 2026, Plaintiff served a C.C.P. § 998 Offer of Judgment on Defendant, which is dated and signed by Plaintiff’s counsel Christopher A. Seabock on June 18, 2025. Declaration of Dennis Price in Support of Motion (“Original Price Decl.”) (filed: Nov 10, 2025) at Ex. 6 (executed

⁹ While Plaintiff in his original moving papers here requested a total award of fees and costs of \$39,076.10, reflecting a 1.25 multiplier on \$28,825.00 in fees and \$2,435.88 in costs, in his Reply papers he increased one entry from 4.00 hours of attorney time to prepare the Reply papers to 4.60 hours to prepare the Reply papers (at \$750 per hour). Price Reply Decl. at ¶ 6. Hence, the total award of fees and costs requested increased from \$39,076.10 to \$39,638.60.

Section 998 Offer of Judgment).

A month after that, on July 18, 2025, counsel for Defendant J. William Peironnet signed and accepted the C.C.P. § 998 Offer of Judgment on behalf of Defendant. *Id.*, Ex. 6.

Apart from reasonably incurred attorneys' fees and costs, the total amount of the settlement that Defendant agreed to pay Plaintiff is: \$3,999.00. *Id.*, Ex. 6 ¶ 2(a).

Under the plain text of the C.C.P. § 998 Offer of Judgment that Defendant accepted on July 18, 2025, Plaintiff is entitled "to recovery of all *reasonably* incurred fees and costs, in an amount to be determined by notice motion to the Court[.]" *Id.*, Ex. 6 ¶ 2(b) (emphasis added). Defendant agreed to that, so Plaintiff is entitled to that.

So while Plaintiff is entitled to recover all reasonably incurred fees and costs in this case from Defendant, what is reasonable in this case is within the broad discretion of this Court to decide now in this Motion.

In this Motion to recover its attorneys' fees and costs, Plaintiffs requests a total award of \$39,638.60, reflecting a 1.25 multiplier on \$29,275.00 in attorneys' fees and \$2,435.88 in costs. Motion at 3:3-7; Price Reply Decl. at ¶ 6.

More specifically, as the Court can see by its careful line-by-line review of Plaintiff's Billing Records for this case submitted as Exhibit 1 to the Original Price Decl., as increased by 0.6 hours at \$750.00 in the Reply Price Decl. at ¶ 6, Plaintiff is requesting 46.6 hours of attorney time at a billable rate that ranges from \$750.00 an hour for attorney Price, to \$700 per hour for attorneys Christopher Seabock and Amanda Seabock, to \$550.00 per hour for attorney Sara Johnson.

Considering the relevant market that these lawyers practice in ADA litigation in California and the fact that attorney Christopher Seabock himself did the vast majority of assignments listed on the billing records in this case (see Original Price Decl., Ex. 1, Billing Records), the Court finds that the \$700 per hour billable rate requested for attorney Christopher Seabock is reasonable, and indeed that \$700 per hour for Plaintiff's lawyers is reasonable to award across the board for the *reasonable* number of billable hours that the Court decides to award in this case. In other words, the Court will calculate its award of fees in this case at a rate of \$700.00 per hour, which the Court in the exercise of its discretion finds to be reasonable here given these facts and circumstances.

But the Court finds that the number of 46.6 hours sought by Plaintiff's counsel is unreasonable given the work that Plaintiff's counsel reasonably needed to do here and given the size of the amount of the recovery in this settlement of \$3,999.00. To put this in perspective, Plaintiff is asking for nearly *10 times* in attorneys' fees and costs—\$39,638.60—what Plaintiff recovered in this settlement: \$3,999.00. In this case against a small coffee shop, that 10-times-multiple is not reasonable.

Moreover, the Court's careful line-by-line review of the billing records submitted in

this case show a level of padding and unnecessarily-billed hours that shock the conscience of this Court. For instance, Defendant filed a motion to quash on March 7, 2025 that was withdrawn on April 25, 2025. While Plaintiff's attorneys no doubt had to spend some time opposing that motion to quash, the number of hours that they billed between March 7 and April 25, 2025—of 18.6 hours over 20 separate days (!)—is absurd. It should *reasonably* have taken experienced Plaintiff's counsel 1.0 hour to oppose a motion to quash that was never argued because it was withdrawn as moot.

Likewise, the 5.2 hours that Plaintiff's counsel billed between December 3, 2024 and January 28, 2025 to draft and file the Complaint on January 28, 2025 is not reasonable. As an experienced ADA litigation firm, Plaintiff's counsel here did not have to reinvent the wheel. At most, it should have taken Plaintiff's counsel 1.0 hour to draft and file this Complaint by plugging in the facts of Plaintiff's case to this standard ADA Complaint.

Regarding work billed by Plaintiff's counsel between when Defendant's answer was filed on May 8, 2025, and the date Defendant executed and accepted the Section 998 Offer on July 18, 2025, the Court will award another 2.0 hours of reasonable attorney work. Plaintiff counsel did conduct some modest (though not novel or time consuming at all) written discovery during this date range. But for the multiple repetitive billing entries during this date range like "revising CMC statement, review docket," the Court is not going to award any attorney time for that as these amounts sought were for attorney time *not* reasonably incurred.

And after Defendant executed the Section 998 Offer on July 18, 2025, there frankly was not much more for Plaintiff's counsel to do other than prepare this attorneys' fees and costs Motion, which, as an experienced ADA litigation firm, Plaintiff's counsel could reasonably generate—i.e., by calling up and inserting its billable records and standard exhibits in this standard Motion that it filed about the reasonableness of billable hours and rates sought, exactly as it did—in 1.5 hours.

So the total number of attorney hours that the Court awards here as reasonably expended is *not* 46.6 hours but 5.5 hours (1.0 + 1.0 + 2.0 + 1.5). As the undersigned Judge before taking the bench practiced more than 20 years in civil litigation—the first decade representing Plaintiffs and submitting motions for attorneys' fees just like this one—the Court is quite certain that 5.5 hours at \$700 per hour is a reasonable number of hours and a reasonable hourly rate to award considering the attorney work that needed to be done in this case and in light of modest amount of the recovery achieved by the attorney work done here—\$3,999.00.

As the Court rules that Plaintiff is entitled to a reasonable amount of attorneys' fees under the executed Section 998 agreement in this case, and that \$700 per hour is a reasonable billable rate and that 5.5 is a reasonable number of hours worked in this case, the award of attorneys' fees in this case is \$3,850.00 (= \$700 per hour x 5.5 hours).

Regarding the 1.25 multiplier on the lodestar that Plaintiff requests in this case, the Court in the broad exercise of its discretion does not award any multiplier in this case

because to do so would be unreasonable under these facts and circumstances. Even Plaintiff concedes that “no multiplier deviation is requested or necessary, except to account for delay in payment.” Motion at 11:1:1-2. And Plaintiff requests a 1.25 multiplier not because of any complexity of the attorney work here or because it claims that the \$3,999.00 settlement was somehow exceptional (it’s not), but rather because “[t]he reality of finance is that funds that are received later are worth less than those that are received timely.” Motion at 11:18-19. Assuming without deciding that this realities-of-finance argument were a sound basis on which the Court could award a multiplier, the Court declines to do so here. By accepting the Section 998 Offer on July 18, 2025, within 30 days of it being offered on June 18, 2026, Defendant caused no undue delay here that warrants the award of any multiplier on top of the lodestar.

That said, in addition to their reasonable attorneys’ fees, Plaintiff is also entitled under the plain terms of the executed Section 998 agreement to his reasonable costs incurred for this case. Original Price Declaration Ex. 6 ¶ 2(b).

For costs, Plaintiff requests \$2,435.88. Motion at 3:7; Original Price Decl. Ex 1 (Billing Records at p. 12 of 12, listing “\$2,435.88” as “Expenses Subtotal”).

However, Plaintiff admits that out of that \$2,435.88, the \$1,000 cost entry on October 7, 2025, the “high-frequency filing fee” on its Billing Records “has not yet been paid.” Motion at p. 12 fn. 2. The Court finds that it would be unreasonable to make Defendant pay Plaintiff this \$1,000.00 high-frequency filing for two reasons.

First, it is unreasonable for the Court award Defendant a cost that Defendant has not paid.

Second, and more importantly, there is no reason in logic or law that Defendant should incur a \$1,000.00 fee that Plaintiff may have pay because Plaintiff files a high frequency of civil actions in California. Regardless of whether Plaintiff has “filed perhaps thousands of such actions” as Defendant argues in its Opposition papers (Opp. at p. 1), Defendant did nothing to cause—in fact or proximately—Plaintiff to file a single other lawsuit besides this one. As Defendant did not cause this \$1,000 cost, it would be unreasonable for the Court to make Defendant pay Plaintiff for this \$1,000 cost. So in the broad exercise of its discretion, the Court will not award Plaintiff as part of its costs this \$1,000.00 high-frequency filing fee because to make Defendant pay for this cost that Defendant did not cause would be unreasonable.

Moreover, after reviewing each line of the costs claimed in the Billing Records (Original Price Decl. Ex 1), the Court also does *not* award the \$156.70 in costs for “pull[ing] DC prior ADA defense” billed on May 22, 2026 or the \$24.94 for “mid-litigation investigation” billed on May 27, 2025, as the Court finds that those costs were not reasonably incurred for this case.

Putting aside the \$1,000.00 high frequency filing fee, the \$156.70 prior ADA defense “pulling,” and the \$24.94 mid-litigation investigation, the Court finds that the remaining expenses listed on the Billing Records *are* reasonable costs in this case.

Accordingly, the Court awards Plaintiff reasonable costs of \$1,254.24 in this case.

In total, the Court awards Plaintiff \$5,104.24 in reasonable attorneys' fees and costs in this case, comprising \$3,850.00 in reasonable attorneys' fees and \$1,254.24 in reasonable costs in this case. And Defendant will pay Plaintiff that total amount of \$5,104.24 within 60 days of today.¹⁰

Order and Conclusion

For the reasons set forth above, Plaintiff's Motion is **GRANTED In Part** as follows. Specifically, Defendant Blvd Coffee Inc. is **ORDERED** within 60 days of today to pay Plaintiff Scott Johnson \$5,104.24 for Plaintiff's reasonable attorneys' fees and costs incurred in this case.

SO ORDERED.

Date: June 24, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

¹⁰ The Court is aware that the text of the executed and accepted Section 998 offer states that "any fees awarded by the Court shall be paid within 30 days of that Order, *unless the Order specifies otherwise.*" Original Price Decl. Ex. 6 ¶ 2(c) (emphasis added). The Court is specifying otherwise now, as a matter of fairness considering the modest means of this small coffee shop that is Defendant (Opp. at pp. 5, 13), by Ordering the total award to be paid within 60 days of today.

Line 6

Case Name: *Hai Bui v. Toyota Motor Sales, U.S.A., Inc., et al.*

Case No.: 25CV462169

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant Toyota Motor Sales, U.S.A., Inc. (“TMS” or “Defendant”) demurs to the Sixth Cause of Action for Fraudulent Inducement-Concealment of the First Amended Complaint (“FAC”) of Plaintiff Hai Bui (“Plaintiff”) under Code of Civil Procedure Sections 430.10(e) & (f). Notice of Demurrer (the “Demurrer”) at 1:5-17 (filed: Oct. 14, 2025).

Defendant also moves to strike the punitive damages claim from the FAC of Plaintiff under Code of Civil Procedure Sections 435 and 436 on the ground that Plaintiff’s punitive damages claim is improper under sections 435 and 436 because the FAC fails to allege sufficient facts capable of supporting a punitive damages award. Notice of Motion (the “Motion to Strike”) at 1:4-8 (filed: Oct. 20, 2025).

The Demurrer and Motion to Strike came on for hearing on June 24, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

Background

Plaintiff brings this Lemon Law action against Defendants Toyota Motor Sales, USA, Inc. (“TMS”) and Lexus of Stevens Creek (“Lexus”).

According to the facts alleged in the FAC, on November 12, 2021, Plaintiff entered into a warranty contract with TMS regarding a Lexus vehicle (“Subject Vehicle”) that was manufactured and/or distributed by TMS. (First Amended Complaint (“FAC”), ¶ 7; Exhibit A [relevant warranty].) Prior to purchasing the vehicle, Plaintiff reviewed TMS’s marketing materials, vehicle-specific window sticker, and took the Subject Vehicle for a test drive. (*Id.* at ¶ 10.) Plaintiff was never advised of any defects with the Subject Vehicle’s engine but did experience several defects including failure to start, abnormal rattling, and excess and/or unexpected battery drain. (*Id.* at ¶ 11.)

Plaintiff presented the Subject Vehicle to TMS’s authorized repair facilities on multiple occasions where a TMS technician inspected the vehicle and then represented that it had been repaired and/or was working as designed. (FAC, ¶ 12.) Despite these representations, Plaintiff continued to experience unsafe defects. (FAC, ¶ 13.)

On March 28, 2025, Plaintiff filed the initial Complaint. On August 6, 2025, Plaintiff filed the operative FAC, asserting the following causes of action:

- 1) Violation of Civil Code section 1793.2, subdivision (d);
- 2) Violation of Civil Code section 1793.2, subdivision (b);
- 3) Violation of Civil Code section 1793.2, subdivision (a)(3);
- 4) Breach of the Implied Warranty of Merchantability;
- 5) Negligent Repair; and
- 6) Fraudulent Inducement – Concealment.

On October 14, 2025, TMS filed the Demurrer to the FAC's sixth cause of action. Plaintiff opposes the Demurrer, and TMS filed a reply.

On October 20, 2025, TMS filed the Motion to Strike Plaintiff's claim for punitive damages from the FAC. This Motion to Strike is also opposed and TMS filed a reply.

The Court addresses the Demurrer and the Motion to Strike now.

I. Analysis of TMS's Demurrer

TMS demurs generally to the sixth cause of action on the ground it fails to state sufficient facts to constitute a cause of action pursuant to Code of Civil Procedure section 430.10, subdivision (e).

a. Legal Standard on Demurrer

In ruling on a demurrer, the Court treats it "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*).) "A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.)

b. Analysis of the Demurrer

In support of its demurrer, TMS argues: 1) Plaintiff fails to allege an actionable omission or concealment and fails to plead the fraud claim with the requisite specificity; and 2) the fraudulent concealment claim is barred by the economic loss doctrine. While the notice of demurrer indicates that it is also being made on the grounds of uncertainty, the supporting memorandum of points and authorities is completely silent as to that ground, so the Court declines to address the unsupported uncertainty ground.

i. The FAC pleads facts sufficient to constitute the Sixth Cause of Action for Fraudulent Inducement-Concealment.

Plaintiff's Sixth Cause of Action of the FAC is fraudulent inducement by concealment. "The elements of fraudulent concealment are: (1) the defendant concealed or suppressed a material fact; (2) the defendant was under a duty to disclose the fact to

the plaintiff; (3) the defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if the plaintiff had known of the concealed or suppressed fact; and (5) as a result of the concealment or suppression of the fact, the plaintiff sustained damage.” (*Burch v. CertainTeed Corp.* (2019) 34 Cal.App.5th 341, 348.)

“With respect to concealment, there are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. The latter three circumstances presuppose the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. This relationship has been described as a transaction, such as that between seller and buyer . . . or parties entering into any kind of contractual arrangement.” (*Id.* at pp. 349-350 [internal quotations and citations omitted]; *LiMandri v. Judkins* (1997) 52 Cal. App. 4th 326, 336.)

As a general rule, each element in a fraud cause of action must be pleaded with specificity. (See *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) That said, the specific pleading requirement can be significantly relaxed in the case of fraud by concealment because, as one court has explained, “[h]ow does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?” (*Alfaro v. Community Housing Imp. System & Planning Ass’n., Inc.* (2009) 171 Cal.App.4th 1356, 1384.)

TMS argues that Plaintiff has failed to plead the essential element of a duty to disclose with the requisite specificity for a fraud claim. (Motion, p. 6:21-24.) The demurrer conclusively asserts that there are zero allegations supporting a fiduciary relationship between TMS and Plaintiff and thus, Plaintiff cannot allege a duty to disclose. (*Id.* at p. 7:3-5.)

“No liability for concealment exists unless there is a duty to disclose.” (*Nissan Motor Acceptance Cases* (2021) 63 Cal.App.5th 793, 826.) “Where material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is *some relationship* between the parties which gives rise to a duty to disclose such known facts.” (*Ibid.* [emphasis original, internal citations and quotations omitted].) While a fiduciary relationship does create a duty to disclose, other relationships that arise because of a transaction may also impose disclosure duties. (*Ibid.*)

On similar facts, in *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 832 (*Nissan*), the trial court sustained, without leave to amend, defendant Nissan’s demurrer to the fraud claim, where the plaintiffs alleged: that Nissan and its agents intentionally concealed and failed to disclose facts relating to a defective transmission, Nissan had exclusive knowledge of the defect and did not disclose that to plaintiffs in an effort to sell the vehicle, and if plaintiffs had known of the defects they would not have purchased the vehicle. (*Id.* at p. 834.) The Court of Appeal disagreed, holding that at the

pleading stage, plaintiffs' allegations that they bought the car from a Nissan dealership, Nissan backed the car with an express warranty, and Nissan's authorized dealerships were agents for purposes of the sale of Nissan vehicles to consumers, were sufficient to state a fraudulent inducement by concealment claim. (*Id.* at p. 844 ["In light of these allegations, we decline to hold plaintiffs' claim is barred on the ground there was no relationship requiring Nissan to disclose known defects."].)

Here, the FAC alleges that TMS manufactured and/or distributed the Subject Vehicle, Plaintiff entered into a warranty contract with TMS, and the dealership where Plaintiff purchased the vehicle was authorized by TMS. (FAC, ¶¶ 7, 9.) TMS concealed a known defect that causes unsafe conditions. (*Id.* at ¶ 59.) Further, Plaintiff presented the Subject Vehicle for repairs to TMS authorized repair facilities with TMS technicians. (*Id.* at ¶ 12.) TMS and its agents actively concealed the engine defect and failed to disclose this to Plaintiff at the time of purchase or thereafter. (*Id.* at ¶ 62.) These allegations are sufficient to state a duty to disclose.

TMS next argues the allegations are insufficient because Plaintiff does not adequately allege it had pre-sale knowledge of the alleged defect. (Motion, p. 7:6-7.) This argument is unpersuasive. As noted above, the specificity requirement for a fraud by concealment claim is significantly relaxed and here, Plaintiff alleges TMS knew about the defect through internal data, pre-releasing testing data, early consumer complaints, dealership repair orders, testing conducted in response to complaints, and other internal sources of information possessed exclusively by TMS and its agents. (FAC, ¶ 62; See *Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217 [less specificity is required when it appears from the nature of the allegations the defendant necessarily possesses full information concerning the facts of the controversy][superseded by statute on other grounds].) These allegations are sufficient; they are well pleaded. Similarly, TMS's next two arguments are likewise not well-taken as the FAC adequately pleads active concealment and TMS's disclosures. (See FAC, ¶¶ 10, 12-13, 62, 63.)

Accordingly, the Demurrer to the sixth cause of action on the ground it fails to allege sufficient facts to constitute a cause of action is **OVERRULED**.

ii. The Sixth Cause of Action is Not Barred by the Economic Loss Rule.

TMS next asserts that Plaintiff fails to plead that it violated a duty from a tort obligation rather than from contract and the claim therefore fails under the economic loss rule. (Motion, p. 10:20-22.)

The economic loss rule provides that "where a purchaser's expectations in a sale are frustrated because the product he brought is not working properly, his remedy is said to be in contract alone, for he has suffered only economic losses." (*Robinson Helicopter Company v. Dana Corporation* (2004) 34 Cal.4th 979, 988 (*Robinson*).) But "the economic loss rule does not apply to limit recovery for intentional tort claims like fraud." (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 38.) More specifically,

the economic loss rule does not apply to fraudulent inducement of a contract. (*Robinson, supra*, 34 Cal.4th at pp. 989-990; *County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 328-329 [“The analysis [in *Robinson*] suggested that fraud *itself* is immune from application of the economic loss rule because fraud is particularly blameworthy and therefore unlike both contract causes of action *and* products liability causes of action.”] [internal citation omitted, emphasis in original].) Tort damages have been permitted in contract cases where a contract is fraudulently induced and where “the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm.” (*Robinson, supra*, at p. 989-990.)

The *Nissan* Court explained that the independence from the contract, detailed in *Robinson*, is present in the case of fraudulent inducement, “because a defendant’s conduct in fraudulently inducing someone to enter a contract is separate from the defendant’s later breach of the contract or warranty provisions that were agreed to.” (*Nissan, supra*, 84 Cal.App.5th at p. 841 [stating also “plaintiffs’ fraudulent inducement claim alleges presale conduct by Nissan (concealment) that is distinct from Nissan’s alleged subsequent conduct in breaching its warranty obligations”].) The same is true in this case where the FAC alleges both presale conduct and subsequent conduct breaching the express warranty. At the pleading stage, the Court does not find that the economic loss rule bars Plaintiff’s claim.

Accordingly, the demurrer on the ground the sixth cause of action is barred by the economic loss rule is **OVERRULED**.

II. TMS’s Motion to Strike the Punitive Damages Claim

TMS moves to strike Plaintiff’s punitive damages claim as improper under Code of Civil Procedure sections 435 and 435 because the FAC fails to allege sufficient facts capable of supporting a punitive damages award. (Motion to Strike, p. 1:13-20.)

a. Legal Standard on Motion to Strike

A court may strike out any irrelevant, false, or improper matter asserted in a pleading or strike out all or part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (a).) The grounds for a motion to strike must appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice. (Code Civ. Proc., § 437, subd. (a).) In ruling on a motion to strike, a court reads the complaint as a whole, all parts in their context, and assumes the truth of all well-pleaded allegations. (*Clauson v. Superior Ct.* (1998) 67 Cal.App.4th 1253, 1255.)

b. Analysis of the Motion to Strike

“[T]o state a prima facie claim for punitive damages, a complaint must set forth the elements as stated in the general punitive damage statute, Civil Code section 3294.” (*Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th at p. 63.)

Under Civil Code Section 3294(a), punitive damages are available where “defendant has been guilty of oppression, *fraud*, or malice[.]” (Civil Code § 3294(a) (emphasis added)). In this context, fraud means “an intentional misrepresentation, deceit, or concealment of a material fact known to defendant with the intention of depriving plaintiff of property or legal rights or otherwise causing injury.” (*Id.* at subd. (c)(3).)

Here, while Plaintiff’s request for punitive damages is not strictly tied to any specific cause of action, Plaintiff’s Sixth Cause of Action in the FAC for fraud remains alive and well after the Court overruled Defendant’s Demurrer above. So as Plaintiff’s cause of action for fraud in the FAC remains viable, so does Plaintiff’s request for punitive damages in the prayer of the FAC. (See *Stevens v. Super. Ct.* (1986) 180 Cal.App.3d 605, 610 [properly pleaded fraud claim is sufficient by itself to support a request for punitive damages].)

Accordingly, Defendant’s Motion to Strike is **DENIED**.

III. Conclusion and Order

For all the reasons explained above, Defendant’s Demurrer is **OVERRULED** and Defendant’s Motion to Strike is **DENIED**.

SO ORDERED.

Date: June 24, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 7

Case Name: *Hai Bui v. Toyota Motor Sales, U.S.A., Inc., et al.*

Case No.: 25CV462169

See Line 6 above for complete tentative ruling on both the Demurrer and Motion to Strike.